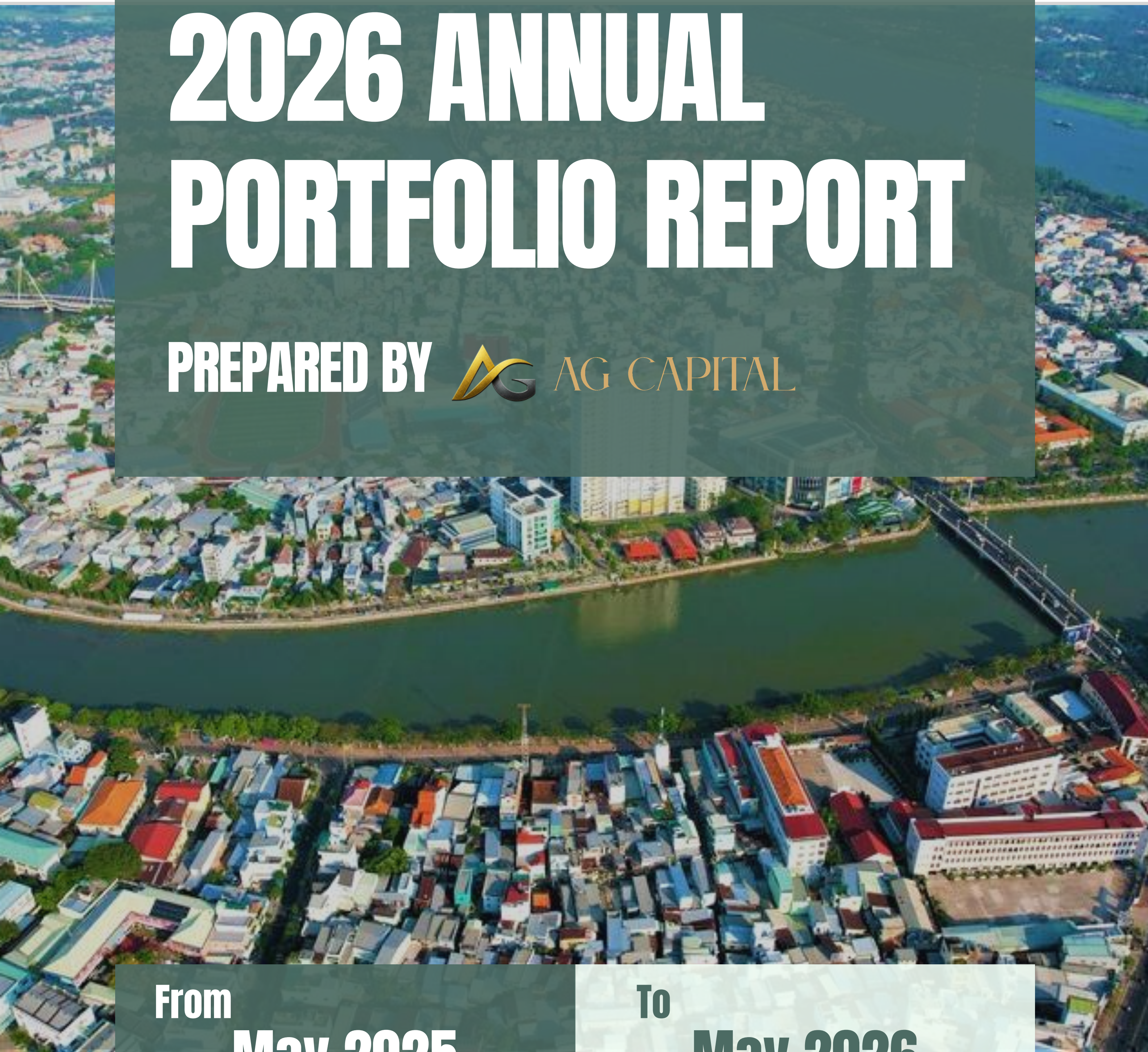
2026 ANNUAL PORTFOLIO REPORT

PREPARED BY AG CAPITAL



From **May 2025**

To **May 2026**

Word Count
3,000 Words

ABOUT US

AG CAPITAL
AN GIANG CAPITAL

AGCapital is a versatile mutual fund dedicated to optimizing returns in the U.S. equity market through a dual-strategy approach. Our Active Fund follows a Large-Cap Value philosophy, targeting industry leaders with robust cash flows and attractive valuations to ensure downside protection. Simultaneously, our Passive Fund employs a Full Replication method to track the Dow Jones Industrial Average, eliminating sampling risk for precise market exposure. By combining fundamental research with strategic index hedging, our expert team provides a disciplined, resilient, and highly liquid path to long-term wealth accumulation.

OUR PEOPLE

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EXECUTIVE SUMMARY

This report evaluates the effectiveness of 2 portfolios: the passive portfolio and the active portfolio. Overall, the active portfolio achieved a total return of 42.06%, delivering an active return of 20.13% over the benchmark. This performance was driven by strategic sector allocation with overweighting Financials, Utilities and Energy and superior stock selection with a focus on large-cap value stocks. On the other hand, the passive portfolio's performance can be evaluated through the annualized tracking error of only around 0.79%, while requiring smaller fees and maintaining sufficient liquidity for rebalancing events.

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I. INVESTMENT POLICY STATEMENTS (IPS)

1. GENERAL INFORMATION

Name of funds	AGCapital
Asset Class	Equities.
Inception date	May 1st, 2025.
Report date	May 1st, 2026.
Chartered capital	USD 50,000,000.
Target securities	DJIA listed companies.
Primary Benchmark	Dow Jones Industrial Average (DJIA).
Investment style	Active Large-Cap Value & Passive Full Replication.

2. INVESTMENT OBJECTIVES

Active Fund seeks to achieve superior risk-adjusted performance with downside protection:

Return objectives	Annualized return of DJIA +4%.
Risk objectives	Portfolio’s standard deviation < 20%.

For a **Passive Fund**, the primary objective is to maintain close benchmark replication:

Return objectives	Annualized Tracking Difference < 1% (net of fees).
Risk objectives	Annualized Tracking Error < 1% (with target Beta = 1.0).

Why invest in Large-cap Value ?

AG Capital's active fund employs a Large-Cap Value strategy benchmarked to the DJIA, holding 10–15 high-conviction stocks targeting undervalued, financially sound companies trading below intrinsic value. Large-Cap Value is superior because: (1) Risk Management - in the 2022 downturn, Large Value declined only -7.54%, far less than Large Blend (-19.21%) and Large Growth (-29.14%); (2) Diversification - value exposure spans defensive and cyclical sectors, reducing concentration risk; (3) Consistency - 5-year cumulative return of 70.99% with significantly lower volatility than peers.

Large-cap economic moats stabilize margins through inflation, while discounted valuations attract quality-focused investors seeking real earnings. The $50M notional ensures liquidity for rebalancing, aligned naturally with the DJIA.

Moreover, in the 2022 crash Large-Cap Value's -7.54% drawdown proves superior capital preservation compared to Large-Cap Growth -29.14% crash.

Table 1. Investment Style's Returns In Recent Years.

Style & Size	Primary Benchmark	2021	2022	2023	2024	2025	5 year
Large Value	**Russell 1000 Value**	**25,16%**	**-7,54%**	**11,46%**	**15,91%**	**14,37%**	**70,99%**
Large Blend	Russell 3000	25,66%	-19,21%	25,96%	23,81%	17,15%	85,47%
Large Growth	Russell 1000 Growth	27,60%	-29,14%	42,68%	33,36%	18,56%	103,98%
Mid Value	Russell Midcap Value	28,34%	-12,03%	12,71%	13,07%	11,05%	59,78%
Mid Blend	S&P MidCap 400	24,76%	-13,06%	16,44%	13,93%	7,50%	54,68%
Mid Growth	Russell Midcap Growth	12,73%	-26,72%	25,87%	22,10%	8,66%	37,95%
Small Value	Russell 2000 Value	22,39%	-14,48%	14,65%	8,05%	12,59%	45,99%
Small Blend	Russell 2000	14,82%	-20,44%	16,93%	11,54%	12,81%	34,41%
Small Growth	Russell 2000 Growth	2,83%	-26,36%	18,66%	15,15%	13,01%	16,93%

3. INVESTMENT STRATEGY

The **DJIA** serves as the common underlying benchmark for both the active and passive investment funds.

4. PORTFOLIO INVESTMENT POLICY

Rebalancing Policy

Active fund: rebalanced only when actual weights deviate by more than 5% from target allocations to maintain alignment with the strategic asset allocation framework.

Passive fund: rebalanced semiannually to maintain alignment with the target allocation and the composition of the Dow Jones Industrial Average.

Asset Allocation Policy

Active fund: the strategy focuses on U.S. large-cap value stocks with strong fundamentals, while maintaining a cash allocation as a defensive buffer during market volatility. To enhance diversification and control idiosyncratic risk, each stock is capped at 10% of total equity holdings.

Table 2. AGCapital Target Allocation.

Asset Class	Sub-asset Class	Target Allocation
Equity	US Large-Cap Value Stock	90%
Cash		10%

Passive fund: 95% of the portfolio is invested directly in DJIA constituent stocks, 5% is held as cash for liquidity purposes.

II. PORTFOLIO CONSTRUCTION

1. OVERVIEW OF US ECONOMY

Inflation

The U.S. was in a disinflationary transition. Headline CPI declined from a peak of 8.00% in 2022 to 2.78% by end-2024; Core PCE cooled from 5.34% to 2.94%.

Table 3. U.S. Headline CPI Inflation from 2020 to 2024.

	2020	2021	2022	2023	2024
Average index	258.81	270.97	292.65	305.20	313.69
Headline CPI (YoY)	1.23%	4.70%	8.00%	4.29%	2.78%

Table 4. U.S. Core PCE Inflation Rate (First 4 Months of 2025).

Date	Core PCE
1/1/2025	2.78014
2/1/2025	2.96864
3/1/2025	2.67029
4/1/2025	2.6148

Federal Reserve and Interest Rates

Capital markets remained sensitive to the Fed's stance. The Equity Market Volatility Tracker for Interest Rates averaged 6.26% in 2024, down from 8.64% in 2022 but still above pre-pandemic levels. AG Capital therefore projected a cautious easing cycle, favoring defensive, cash-generative positions to manage persistent fixed-income policy risk.

Table 5. Equity Market Volatility Tracker.

	2020	2021	2022	2023	2024
Interest Rates	5.54994	4.50438	8.64441	8.15895	6.25926

Labor Market and Growth

Q1 2025 forecasters projected 2.4% GDP growth for full-year, unemployment rising from 4.1% to 4.3%, monthly payroll gains averaging ~145,000. Consumer spending showed early signs of softening as rate hikes filtered through household balance sheets.

Implications for Portfolio Strategy

The macro backdrop as of May 2025 pointed to a late-cycle environment: inflation cooling but unresolved inflation, a cautious Fed, and moderating growth, calling for a quality-biased, diversified approach favoring pricing power and stable cash flows over cyclical exposure, directly shaping AG Capital's sector allocation and stock selection.

2. ACTIVE FUND

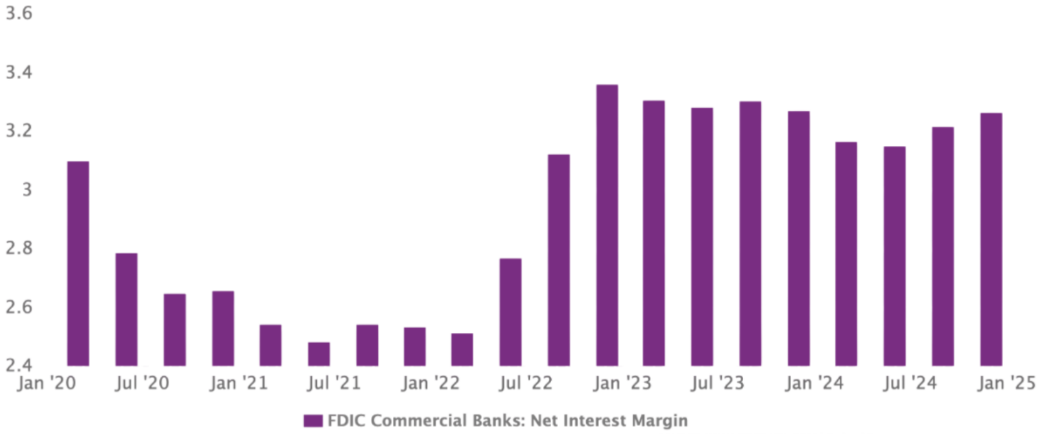
a. Potential Sectors In US Market

We overweighted Financials, Energy, and Utilities, maintained neutral positions in Healthcare and Consumer Staples, and underweighted Industrials and Communication Services.

Financials (Overweighted 15%)

The Financials sector trades at a notable discount to the market (~17x vs. ~21x P/E for the DJIA). NIM expansion and post-SVB balance sheet strengthening leave major banks well-capitalized with active capital return programs. When the Fed cuts rates, loan growth should accelerate.

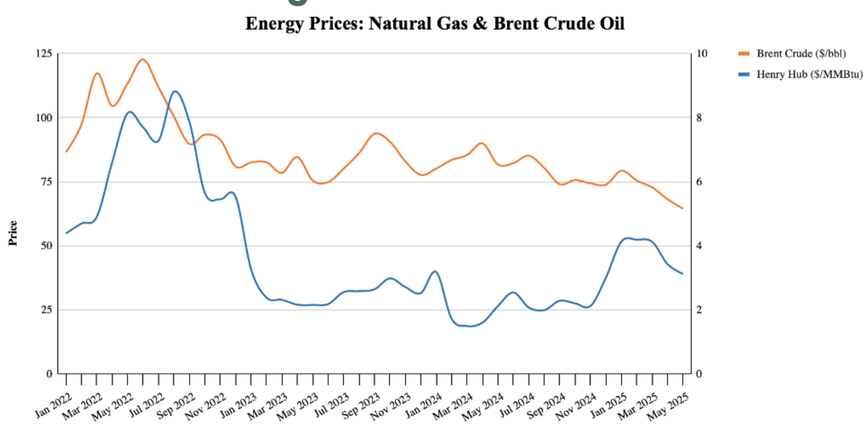
Figure 1. FDIC Commercial Banks: Net Interest Margin.



Energy (Overweigted 13%)

Energy remains the most attractively valued sector in the DJIA (~16x P/E, a 31% discount to the index), due to pessimism around oil prices and recession risk. However, the sector is supported by a ~40% rise in natural gas prices.

Figure 2. Crude oil and natural gas.



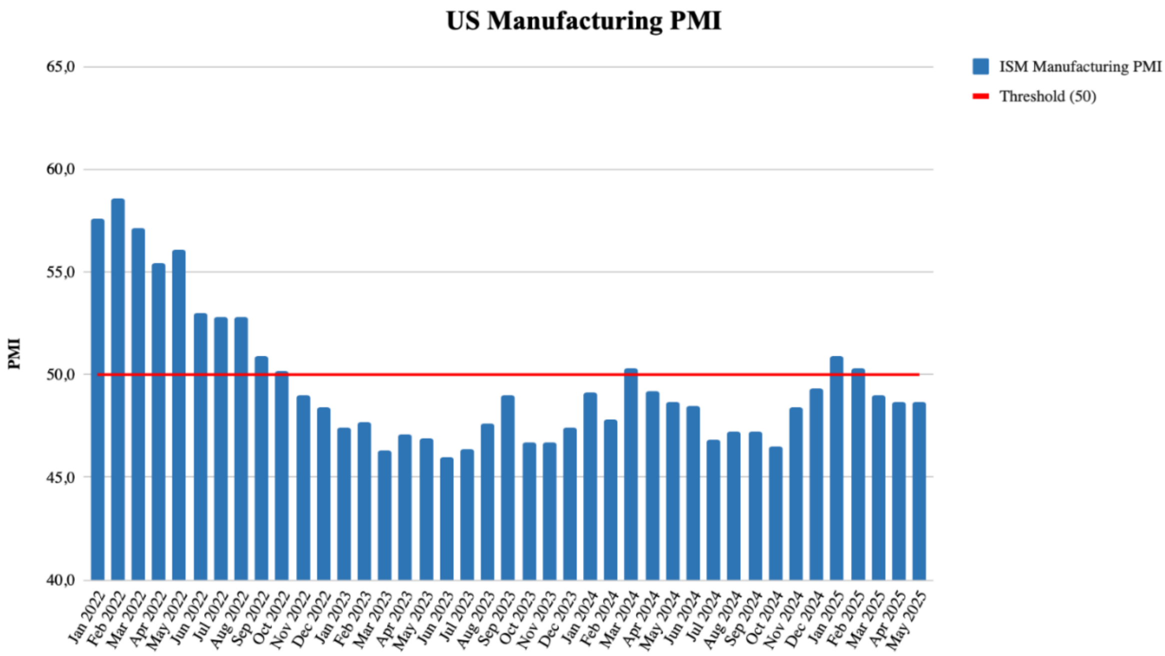
Healthcare (Equal 28%)

The sector held up well in Q1 2025, rising +4.6% while the DJIA 500 fell, showing its defensive value when markets get rocky as its demand is largely recession-proof.

Industrial (Underweighted 26%)

The sector is driven by: rising global defense budgets during the Russia-Ukraine war, AI infrastructure generating demand for electrical equipment. However, the US Manufacturing PMI has stayed mostly below 50 since late 2022 with limited signs of recovery through mid-2025.

Figure 3. US Manufacturing PMI.



Consumer Staples (Equal 12%)

Consumer Staples offers reliable defensive characteristics in uncertain markets; the sector returned +4.6% in Q1 2025 while the broader market declined. Revenue holds up across economic cycles given the non-discretionary nature of demand, and many companies either manufacture locally or carry sufficient pricing power to absorb tariff-related cost pressures.

Utilities (Overweighted 2%)

AI data center buildout is driving the strongest electricity demand growth in decades, with Goldman Sachs projecting US power demand up 15–20% by 2030. According to EIA, solar power generation was forecast to grow 75% from 163 billion kWh in 2023 to 286 billion kWh by 2025, while wind power generation was expected to grow 11% over the same period.

Communications service (Underweighted 1%)

In Q1 2025: the Communication Services sector experienced a significant downturn, returning nearly -6%. The sector outlook remains challenged, revenue growth is projected at 2.9% CAGR through 2028, below inflation, with average revenue per user declining 2% annually due to pricing pressure.

Financials

JPMorgan Chase & Co.
Bank of America

Energy

ExxonMobil
Chevron
Caterpillar

Healthcare

UnitedHealthcare
abbvie
Johnson & Johnson

Industrials

Honeywell
RTX

Consumer Staples

P&G
Walmart

Utilities

NextEra Energy

Communication

verizon

2. ACTIVE FUND

b. Stock Selection

Table 6. Stock Selection Rationale.

Sector	Ticker	Rationale
Financials	JPM	• A global banking titan and #1 in Commercial & Investment Bank and Asset & Wealth Management (2024). Its universal banking mix gives it scale, fee income, and less dependence on any economic cycle. • Strong earnings power with fortress-level capital: Q1 2025 net income was $14.6 billion on $46.0 billion of revenue, with CET1 at 15.4% and TLAC at $558 billion.
	BAC	• The second-largest US retail bank, leveraging a massive $2 trillion deposit franchise (Q1 2025) and a leading wealth management arm. • Q1 2025 net income was $7.4 billion, EPS was $0.90, and average deposits grew for the seventh straight quarter to nearly $2 trillion. That is a deposit-franchise story, which fits value better than a pure rate trade.
Energy	XOM	• As an integrated energy giant, XOM captures value across upstream and chemical solutions, reducing reliance on oil price fluctuations. • Strong Q1 2025 cash conversion ($13B CFFO) supported $9.1B in shareholder distributions. Elite capital discipline and a ~7% FCF yield solidify its robust value thesis.
	CVX	• An integrated energy giant leveraging high-margin assets to drive long-cycle free cash flow over short-term growth. • Q1 2025 features a conservative 14% net debt ratio. With a 4.4% dividend yield and a long history of dividend growth, it remains a solid value pick.
	CAT	• As the global leader in construction and mining equipment, CAT is a direct beneficiary of the US IIJA, which enters its peak phase in 2025. • Q1 2025 sales and revenues were $14.2 billion, operating margin was 18.1%, and the company returned $4.3 billion to shareholders. Even with softer revenue, the margin profile still looks like a quality industrial.

Sector	Ticker	Rationale
Healthcare	UNH	• A healthcare services powerhouse managing care for 50M+ members (Q1 2025) through an integrated ecosystem. • Q1 2025 revenue reached $109.6 billion and adjusted EPS was $7.20, but the company later suspended its 2025 outlook and changed CEOs. While risky, its long-term scale and cash generation remain a high-conviction moat.
	JNJ	• Johnson & Johnson now runs as a two-segment healthcare company, Innovative Medicine and MedTech. The portfolio is broad, durable, and much cleaner after the Kenvue spin-off. • Boasts an AAA-rated balance sheet and a 62-year dividend streak. Trading at ~15x P/E, it offers quality growth at a reasonable price.
	ABBV	• An immunology leader successfully pivoting from Humira to Skyrizi/Rinvoq dominance. It holds a durable market-share moat in chronic therapies. • 2025 YoY earnings growth more than 40%, its 3.64% yield and robust pipeline provide a compelling GARP-style value entry.
Industrials	HON	• HON holds a leading position across aerospace, building automation, and energy solutions. • Q1 2025 sales reached $9.8 billion, up 8% YoY, exceeding guidance across all metrics.
	RTX	• RTX is the world's largest aerospace and defense company. • In Q1 2025, RTX delivered sales of $20.3 billion, up 5 percent over the prior year, with adjusted EPS of up 10% YoY. The company backlog of $217 billion provides strong revenue visibility.
Utilities	NEE	• The largest renewable energy operator in North America focuses on clean power generation and sustainable energy solutions. • It is positioned to benefit from the AI-driven surge in electricity demand projected to reach 160% by 2030.

Sector	Ticker	Rationale
Consumer Staples	PG	• P&G holds one of the strongest brand portfolios in consumer staples and is backed by a 69-year consecutive dividend growth streak. • In Q3 FY2025, P&G delivered organic sales growth of 1% and core EPS of $1.54, up 1% YoY, returning $3.8 billion to shareholders, demonstrating earnings resilience despite a volatile macro and geopolitical backdrop.
	WMT	• The world's largest retailer with extensive global operations in both physical and digital retail. • In Q1 2025, net sales reached $108.7B, up 4.5% in comparable store sales, while e-commerce continued to accelerate, demonstrating that its low-price positioning and digital expansion are both working simultaneously.
Communication	VZ	• The largest wireless carrier in the US by subscribers and the second-largest telecom company in the world by revenue. • With the 5G peaks, VZ is shifting focus toward free cash flow optimization and funding above 6% dividend yield.

c. Our Managed Portfolio Formation & Model Selection

The Black-Litterman model with Absolute Views was applied to the DJIA benchmark to estimate 2026 expected returns. Target prices are derived by multiplying current prices by industry expected growth, proxied by revenue growth forecasts from FactSet's Earnings Insight, and then translated into subjective views combined with market data.

The portfolio maximizes the Sharpe ratio under three constraints: fixed sector weights from Section II.2; individual stock weights capped at 10% to limit concentration and benchmark deviation; and full investment with no short selling.

Table 7. Optimal Weights using Black-Litterman Absolute Views.

Sector	Sector Weight	Ticker	BL Expected Excess Return	BL Expected Return	BL Optimal Weight
Communication Services	1%	VZ	0.29%	4.92%	1.00%
Consumer Staples	12%	WMT	0.27%	4.90%	6.51%
		PG	0.22%	4.85%	5.49%
Energy	13%	XOM	0.58%	5.21%	6.65%
		CVX	0.56%	5.19%	6.35%
Financials	15%	BAC	0.67%	5.30%	8.26%
		JPM	0.59%	5.22%	6.74%
Healthcare	28%	ABBV	0.26%	4.89%	10.00%
		JNJ	0.23%	4.86%	9.65%
		UNH	0.16%	4.79%	8.35%
Industrials	26%	CAT	0.64%	5.27%	10.00%
		RTX	0.53%	5.15%	8.17%
		HON	0.51%	5.14%	7.83%
Utilities	5%	NEE	0.35%	4.98%	5.00%

Table 8. Performance Summary Table from Optimal Weights.

Metric	Value
Backtest Annual Return	14.1506%
Cumulative Returns	89.9928%
Annual Volatility	15.8665%
Sharpe Ratio	0.6001
Sortino Ratio	0.8362

3. PASSIVE FUND

a. Replication Method

We apply the fully replication strategy to track the DJIA benchmark. As the DJIA is a price-weighted index, the fund will purchase an equal number of shares for each stock. Compared with the S&P 500, the Dow Jones Industrial Average contains 30 stocks, making full replication more practical.

b. Trade-offs

- Full replication aims for near-zero tracking error by holding every index component which is impractical for broad markets.
- Conversely, sampling prioritizes practicality by holding a representative subset of highly liquid assets therefore reduces execution costs and operational headaches.
- However, since the DJIA tracks only 30 highly liquid, large-cap stocks, utilizing full replication delivers better tracking error without imposing any significant operational burden.

III. Monitoring & Rebalancing

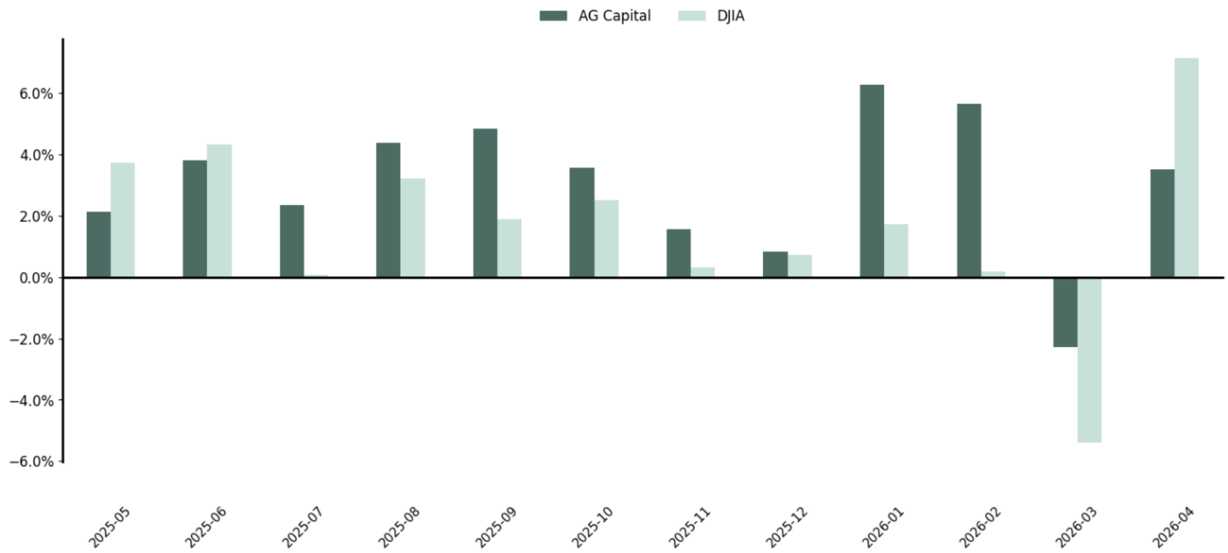
1. ACTIVE FUND

a. Monthly Returns Monitoring

AG Capital's active fund has delivered steady performance since May 2025. The peak in September 2025 saw returns well above the benchmark's 2%, driven by overweighting Financials, Energy and Utilities. In October, rising Treasury yields and inflation concerns pressured valuations.

January and February 2026 produced the fund's strongest months. Top contributors were equal-weight Healthcare (ABBV, UNH) and Consumer Staples (WMT, PG) positions.

Figure 4. Monthly returns of AG Capital vs DJIA.



March 2026 was the only negative period due to a tariff-triggered broad market sell-off. Defensively positioned, the fund significantly outperformed the DJIA's -5.03% decline. April 2026 saw a 3.61% rebound, though the DJIA surged 6.88% as underweighted cyclical sectors led the recovery.

1. ACTIVE FUND
b. Rebalancing

October 29, 2025: the fund rebalanced after CAT reached 15.66% of the portfolio. The team trimmed CAT (5,834 shares sold, reduced to 9.90%), RTX, BAC, and JPM, locking in manufacturing rally gains and adopting a defensive stance ahead of anticipated volatility. Proceeds were reinvested into dividend-paying value stocks like ABBV (+9.90%), UNH (+8.27%), WMT, and PG, improving diversification and the Sharpe ratio, and proving critical in limiting March 2026 losses.

Table 9. Portfolio Rebalancing.

Date	Stock	Weight before rebalancing	Buy / Sell	No. of stocks to buy/sell	Weight after rebalancing
2025-10-29	**BAC**	9.11%	**Sell**	10,648	8.17%
2025-10-29	**CAT**	15.66%	**Sell**	5,834	9.90%
2025-10-29	**NEE**	5.25%	**Sell**	2,142	4.95%
2025-10-29	**JPM**	7.03%	**Sell**	681	6.68%
2025-10-29	**JNJ**	9.88%	**Sell**	1,034	9.55%
2025-10-29	**RTX**	9.53%	**Sell**	4,832	8.10%
2025-10-29	**ABBV**	9.87%	**Buy**	80	9.90%
2025-10-29	**UNH**	6.26%	**Buy**	3,353	8.27%
2025-10-29	**HON**	6.66%	**Buy**	3,209	7.74%
2025-10-29	**XOM**	6.22%	**Buy**	1,856	6.58%
2025-10-29	**WMT**	5.74%	**Buy**	4,089	6.44%
2025-10-29	**CVX**	6.17%	**Buy**	439	6.29%
2025-10-29	**PG**	4.32%	**Buy**	4,462	5.44%
2025-10-29	**VZ**	0.80%	**Buy**	2,794	0.99%

1. ACTIVE FUND

c. Macro Overview

Key events from May 2025 to April 2026 shaped decisions: the Fed's cut signals supported early Financials/Energy gains; slowing growth and PMI contraction triggered the October pivot; XOM and CVX were retained for dividend income amid oil weakness; the March 2026 tariff shock was absorbed by defensive positioning; and a rotation into Healthcare and Consumer Staples fuelled January–February outperformance.

2. PASSIVE FUND

a. Initial Inception

At inception, the fund purchased 7,244 shares per ticker based on the 30 component stocks' aggregate price of $6,491.61 for a total equity cost of $47,025,194.93. The remaining balance was then allocated to an optimized number of futures contracts to minimize cash drag.

b. Use Of DJIA Index Futures

The fund uses E-Mini Dow Jones Industrial Average futures to reduce cash drag and maintain benchmark exposure. To restore market exposure on this idle cash balance, the fund applies a futures overlay strategy.

Hedge Ratio Formula:	$$h = \beta_p \times \left(\frac{V_p}{V_f}\right)$$ • h = number of futures contracts • βp = portfolio beta = 1 • Vp = value of exposure being hedged = $2,500,000 (5% of $50M) • Vf = value of one futures contract • Futures Price: 40,752.96 (as of May 1st, 2025) • Multiplier (m): $5
Calculation	$$N = 1.0 \times \left(\frac{2{,}500{,}000}{40{,}752.96 \times 5}\right) \approx 12.27$$

Decision: The fund opened **a position for 12 long contracts** (rounding to the nearest whole contract).

Impact Discussion

- **Portfolio Returns**: The overlay eliminates cash drag by synthetically equitizing the idle $2.5M, keeping returns in line with the benchmark while cash remains available for administrative needs.
- **Tracking Error:** Synthetic equitization of cash and dividends through futures maintains near 1:1 NAV sensitivity to the DJIA, ensuring the fund closely mirrors benchmark performance.

c. Rebalancing

Over the first six months, the fund accumulated $445,898 in dividends, causing equity exposure to drift from 95% to ~94%. Consequently, the fund purchased an additional 56 shares per ticker to restore the target allocation. The recalculated hedge ratio confirmed that the existing 12 futures contracts remained appropriate.

IV. Portfolio Performance & Evaluation

1. ACTIVE FUND

a. Performance Measurement

Table 10. Portfolio Performance.

Metric	Portfolio	Benchmark (DJIA)
Beta	0.66	1.00
Intercept (daily α)	0.00	0.00
Total Risk (ann.)	11.13%	12.59%
Market Risk (ann.)	8.25%	12.59%
Specific Risk (ann.)	7.47%	0.00%
Annualised Return	42.06%	21.93%
Annualised Std Dev	11.13%	12.59%
Jensen's Alpha (ann.)	20.43%	—
Sharpe Ratio	3.36	1.37
Treynor Ratio	0.57	0.17
M^2 Measure	46.97%	—
T^2 Measure	39.80%	—
Information Ratio	2.33	—
Maximum Drawdown	-5.67%	-10.01%

The portfolio's 42.06% annualized return nearly doubles the DJIA's 21.93%. The risk was lower than the benchmark, with a standard deviation of 11.13% and the beta of 0.66.

Jensen's Alpha of 20.43% means the sector and stock selection added real value independent of market direction. The Sharpe ratio of 3.36 and Treynor ratio of 0.57 demonstrated superior returns per unit of both total and systematic risk. An Information ratio of 2.33 indicated higher returns for the active risk taken.

1. ACTIVE FUND
b. Performance Attribution

Table 11. Asset class allocation analysis.

Asset Class	Portfolio Weight	Index Weight	Excess Weight	Index Return	Contribution
Equity	99.00%	100.00%	-1.00%	21.93%	-0.22%
Cash	1.00%	0.00%	1.00%	0.00%	0.00%

The portfolio allocated 99.00% to equities, 1.00% to cash to provide liquidity.

Table 12. Allocation and Selection Analysis.

Sector	Portfolio Sector Return	Index Sector Return	Allocation	Selection	Interaction	Total Contribution
Communication Services	10.97%	23.06%	-0.23%	-0.24%	0.12%	-0.35%
Financials	30.11%	8.62%	0.16%	2.79%	0.40%	3.35%
Energy	44.09%	52.64%	1.51%	-0.86%	-0.25%	0.41%
Healthcare	16.94%	8.78%	-0.02%	2.28%	-0.02%	2.24%
Industrials	77.00%	33.98%	-1.79%	13.34%	-2.26%	9.29%
Consumer Staples	13.76%	6.83%	-0.01%	0.83%	-0.01%	0.81%
Utilities	48.42%	21.88%	0.43%	0.80%	0.52%	1.74%
TOTAL	–	–	**0.04%**	**18.94%**	**-1.50%**	**17.48%**

Outperformance was driven by active weighting and superior stock selection. Overweighting in Utilities, Financials, and Energy proved highly effective. Financials alone contributed 3.35% to total return, acting as a primary performance driver during this period.

Communication Services and Industrials were the most underweighted sectors. While underweighting Industrials resulted in a Allocation Effect of -1.79% (as the sector outperformed), the overall contribution remained positive at +9.29% due to exceptional Stock Selection. Despite a defensive allocation stance, our stock-picking within the sector outperformed the DJIA's industrial components.

Table 13. Performance Attribution.

Attribution Factor	Contribution
Asset Allocation	-0.22%
Sector Allocation	0.04%
Security Selection	18.94%
Interaction	-1.50%
Residual / Other	2.87%
Total Active Return	**20.13%**

The portfolio's Total Active Return is 20.13%, driven by Security Selection contributed 18.94%, proving our ability to identify individual stocks that outperform their respective sector benchmarks. The negative Interaction effect suggests sectors we underweight showed stronger stock picking, reflecting in Industrials.

1. ACTIVE FUND
c. Style Analysis

Our fund's investment style is large-cap value.

Table 14. Investment Equity Classification.

	GROWTH	BLEND	VALUE
LARGE			
MID			
SMALL			

Table 15. Fund performance decomposition.

PERFORMANCE TRACKING	RETURN	WEIGHT
Fund Return	42.06%	100.00%
Benchmark Component	15.97%	65.56%
Selection Component	26.09%	34.44%
Tracking Error	8.63%	–

Our fund's annualized return of 42.06% is driven by the Selection Component of 26.09%. Performance was generated through active management and superior security selection rather than market beta alone, which only contributed 15.97%. An 8.63% tracking error demonstrates an efficient, risk-adjusted alpha capture.

2. PASSIVE FUND

a. Portfolio Perfomance Summary

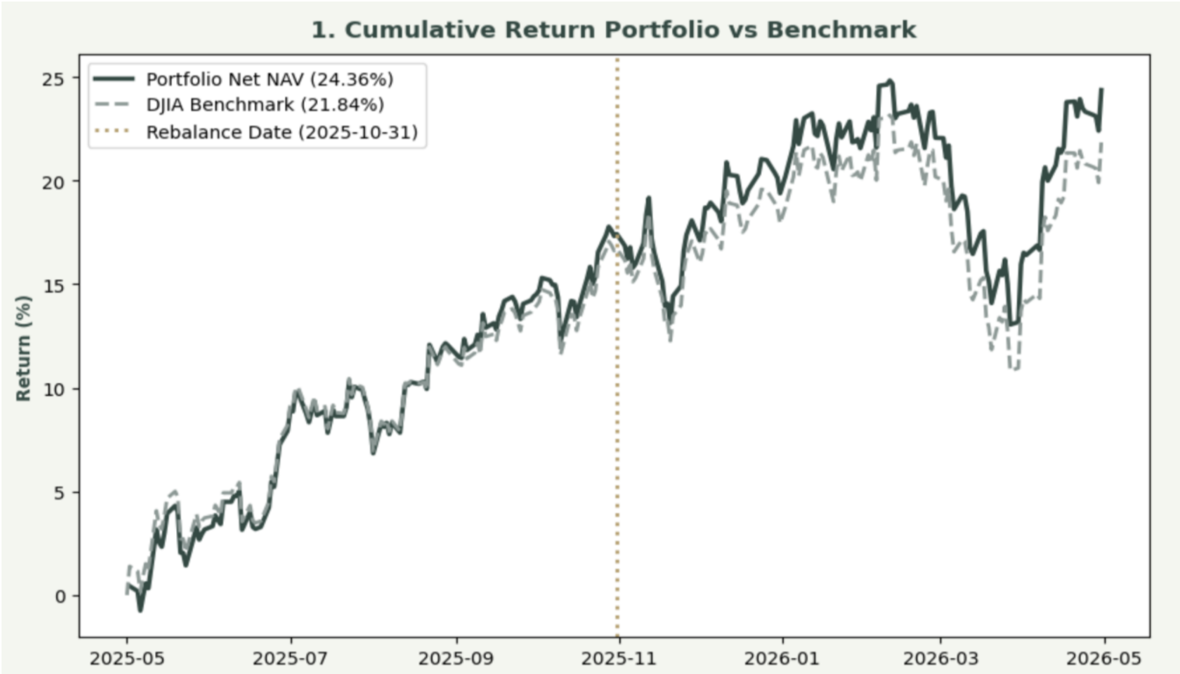
Table 16. Portfolio Performance and Risk Metrics.

	Benchmark	Portfolio	Evaluation
Rate of Return	21.84%	24.36%	Higher return compared to the DJIA.
Volatility	12.52%	12.47%	The volatility and the beta of the fund are nearly the same as the benchmark.
Beta	1	0.9955	
Sharpe Ratio	1.19	1.44	Better returns per unit of risk taken.
Maximum Drawdown	-10.01%	-9.43%	The downside closely aligned with the DJIA during market declines and performed better this period.
Tracking error	0%	0.40%	A tracking error below 1% indicates that the target has been achieved.

At the end of the period, the fund's Net Asset Value (NAV) after accounting for all operational fees stood at $62,187,757.44, representing a net return of approximately 24.38% from the initial capital of $50,000,000.00.

b. Cummulative Return Analytic

Figure 5. Cumulative Return Portfolio vs Benchmark.



Throughout the investment period, the fund successfully tracked the market movements. Minor discrepancies emerged in the later stage as the DJIA is a price-weighted index that excludes dividends through divisor changes, whereas our fund captures and reinvests cash dividends.

This leads to higher returns than the benchmark.

c. Portfolio's Perfomance Attribution

Table 17. Portfolio Component Performance.

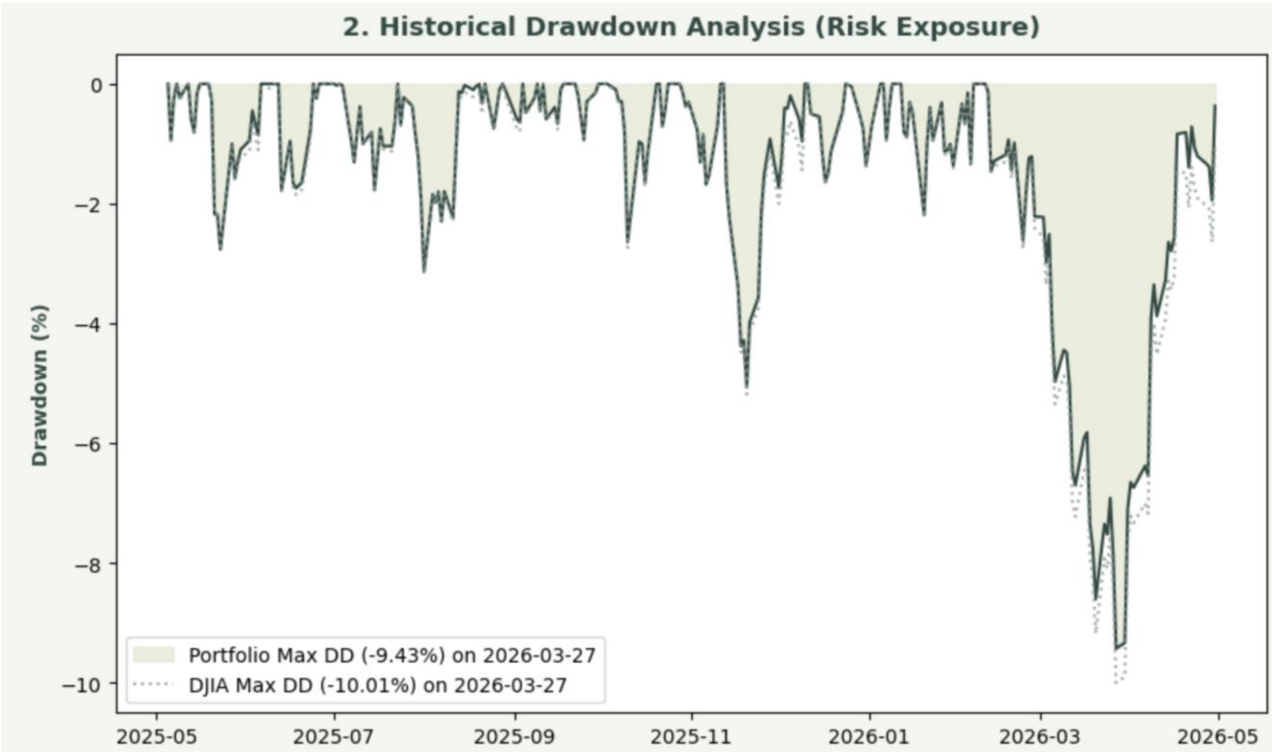
Performance Metrics	Equity Portfolio	Futures & Cash
Net Profit	$12.643.891,87	$538.800,00
Initial Capital Allocation	$47.500.000,00	$2.500.000,00
Component Return (%)	**26,62%**	**21,55%**
DJIA Benchmark Return	**21,84%**	

Futures & Cash: Net profit of $538,800.00 on a $2,500,000.00 allocation, yielding a 21.55% return which matches the 21.84% DJIA Benchmark, confirming efficient systematic market replication.

Equity Portfolio: Outperformed with a net profit of $12,643,891.87 on a $47,500,000.00 allocation, delivering a 26.62% return. While the fund closely tracked market movements, this alpha emerged because of reason mentioned above.

d. Downside Risk Analytic

Figure 6. Historical Drawdown Analysis (Risk Exposure).



Moreover, the portfolio and the benchmark moved together in terms of drawdown and both experienced their maximum drawdowns on March 27, 2026, with the DJIA hitting a low of -10.01% while the fund mitigated the risk at -9.44%.

3. COMPARISON

The passive portfolio returned approximately 24.36% (2% higher than benchmark). Meanwhile, the active portfolio surged to 42.06% through overweighting Financials, Utilities and Energy.

For recommendation, The passive portfolio is more suitable for investors seeking stable performance, lower costs, and consistent benchmark tracking, while the active portfolio may appeal to investors who are willing to accept higher risk in pursuit of greater returns.

V. Conclusions & Limitations

1. CONCLUSION

From May 2025 to May 2026, the active portfolio achieved strong investment performance, achieving the portfolio risk and return goals through superior security selection. Meanwhile, the passive portfolio followed the benchmark with very minor tracking error, demonstrating efficient capital management and low long-term fees.

2. LIMITATIONS

- Due to differences in calculation methodologies, minor variations exist between certain metrics of the two funds.

Active fund

- The use of fixed sector allocations relative to the DJIA may introduce allocation bias.
- Sector selection and target prices derived from institutional reports are incorporated into the Black-Litterman model as investor views, not reflecting true market expectations but rather subjective forecasts.
- The assumption of normally distributed returns may misestimate risk for assets with skewed or heavy-tailed returns.

Passive fund

- 0.4% tracking error from futures rounding, uses adjusted prices that obscure real-world corporate actions.
- Lacks active downside hedging mechanisms due to its passive mandate.

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VII. APPENDIX

1. FEES & EXPENSES

a. ACTIVE FUND

The fees and expenses relating to buying, holding, and selling stocks are demonstrated in Table 18. Customers may incur higher fees and expenses through their financial intermediaries, which are NOT reflected below.

Table 18. Shareholder Fees (fees paid directly from your investment) for AGCapital Active Fund.

Sales Charge (Load)Imposed on Purchases (as a % of offereing price)	1%
Purchase Fee	None
Sales Charge (Load)Imposed on Reinvested Dividends	1%
Redemption Fee	1%
Annual account Fee (on accounts valued atless than $10,000)	$10

Table 19. Annual Fund Operating Expenses (fees paid directly from your investment) for AGCapital Active Fund.

Management Fees	1%
Distribution and Service fees	None
Performance Fees	1%
Other Fees (Legal expenses; marketing expenses and other administrative expenses.)	0.1%
TotalAnnual Fund Operating Expense (no outperformance)	1.1%
Total Annual Fund Operating Expense (outperformance)	2.1%

1. FEES & EXPENSES

b. PASSIVE FUND

The fees and expenses relate to buying, holding and selling stocks are demonstrated in Table 20. Customers may incur additional fees and expenses charged by their financial intermediaries, which are NOT reflected below.

Table 20. Shareholder Fees (fees paid directly from your investment) for AGCapital Passive Fund.

Sales Charge (Load) Imposed on Purchases (as a % of offering price)	None
Purchase Fee	None
Sales Charge (Load) Imposed on Reinvested Dividends	None
Redemption Fee	None
Annual Account Fee (on accounts valued at less than $10,000)	$10

Table 21. Annual Fund Operating Expenses (fees paid directly from your investment) for AGCapital Passive Fund.

Portfolio Management Fees	0.08%
Custody & Administration	0.03%
Index License Fee	0.02%
Legal & Audit Expense	0.01%
Other Operating Expense	0.02%
Total Annual Fund Operating Expense	**0.16%**

Table 22. Annual Fund Transaction Cost (fees paid directly from your investment) for AGCapital Passive Fund.

Broker Commission	0.01%
Bid-Ask Spread	0.04%
Market Impact	0.05%
Total Transaction Cost per Trade	**0.10%**

2. Detailed AGCapital Fund Stock Selection

Table 23. Detailed AGCapital Fund Stock Selection.

Sector	Ticker	Company	Market Cap ($ B)	P/E LTM	P/E 5-year	Sector P/E LTM	EPS (Q2/2024-Q2/2025)	EPS (Q2/2025-EQ2/2026)
Financials	JPM	JPMorgan Chase & Co.	586.41	11.73	10.364	17.2	10.24%	4.63%
	BAC	Bank of America Corp.	260.72	12.18	3.084		32.05%	-12.18%
	BRK.B	Berkshire Hathaway Inc.	1065.44	14.2	26.566		-4%	-18.38%
Energy	XOM	Exxon Mobil Corp.	451.9	15.25	9.44	16.7	0.06%	2.27%
	CVX	Chevron Corp.	246.32	18.3	10.48		2.28%	7.94%
	CAT	Caterpillar Inc.	135.31	15.84	19.822		-9.81%	15.72%
Healthcare	UNH	UnitedHealth Group Inc.	476.22	21.32	23.2	69.9	9.8%	0.94%
	JNJ	Johnson & Johnson	368.74	17.95	20.808		2.39%	14.07%
	ABBV	AbbVie Inc.	330.55	85.92	44.472		8.37%	10.42%
Industrials	HON	Honeywell International Inc.	108.16	22.46	23.308	26.4	7.91%	-1.12%
	RTX	RTX Corp.	157.45	38.2	26.446		5.18%	12.5%
Consumer Staples	PG	Procter & Gamble Co.	164.599	26.13	24.122	30.2	-2.08%	3.99%
	WMT	Walmart Inc.	87.0178	41.19	32.608		2.54%	5.34%
Utilities	NEE	NextEra Energy, Inc.	137.61	25.78	39.458	21.8	9.08%	28.16%
Communication	VZ	Verizon Communications Inc.	181.76	9.96	9.27	39.7	1.52%	3.94%

3. PASSIVE FUND TICKERS

Table 24. Passive Fund Tickers.

GICS Sector	Tickers Included
Financials	GS, JPM, AXP, TRV, V
Information Technology	MSFT, AAPL, CRM, CSCO, NVDA, IBM
Health Care	UNH, AMGN, JNJ, MRK
Industrials	CAT, HON, BA, MMM
Consumer Discretionary	AMZN, HD, MCD, NKE
Consumer Staples	WMT, PG, KO
Communication Services	DIS, VZ
Materials	SHW
Energy	CVX

4. ACTIVE FUND'S RESIDUAL CONTRIBUTION

Table 25. Performance Attribution.

Attribution Factor	Contribution
Asset Allocation	-0.22%
Sector Allocation	0.04%
Security Selection	18.94%
Interaction	-1.50%
Residual / Other	2.87%
Total Active Return	**20.13%**

The sum of asset, sector, security and interaction effect is not equal total active return. The small difference is due to residual. This residual arises from methodological limitations inherent in the Brinson framework, primarily the difference between arithmetic and geometric return compounding, as well as transaction costs and fee drag that are embedded in the actual portfolio return but not explicitly captured within the attribution decomposition.

5. SUGGESTIONS/REMEDIES

To address these limitations, several remedies can be considered. To mitigate allocation risk, sector weights can be dynamically adjusted to reflect market conditions rather than remaining fixed against the DJIA. Regarding the subjectivity of investor views, incorporating a broader and more diversified set of sources, including consensus estimates, would reduce reliance on any single institution's forecasts and improve the objectivity of inputs into the Black-Litterman model. Finally, to measure non-normal return distributions, alternative risk measures such as CVaR or MVaR can be adopted alongside the model to better capture tail risks and extreme market events.

For the passive portfolio, our research team acknowledges that utilizing the 'Adjusted Close' price fails to accurately reflect the actual number of shares purchasable at inception, as historical prices are adjusted. Furthermore, critical corporate actions such as stock splits and their direct impacts on fund liquidity have been omitted due to this data adjustment. Given more time, the team proposes transitioning to raw 'Close' prices combined with a dynamic system to track corporate actions. Specifically, the Python code would be enhanced to actively monitor dividend declaration dates and split ratios, programmatically adjusting the share count.